Illustration 21

Ashok and Mumtaj were partners in a firm sharing profits and losses in the ratio of 5:1. They have decided to admit Tharun into the firm for 2/9 share of profits. The goodwill of the firm on the date of admission was valued at ₹ 27,000. Tharun is not able to bring in cash for his share of goodwill. Pass necessary journal entries for goodwill on the assumption that the fluctuating capital system is followed.

Solution

As the sacrifice made by the existing partners is not mentioned, it is assumed that they sacrifice in their old profit sharing ratio of 5:1. Therefore, sacrificing ratio is 5:1.

Tharun's share of goodwill = $27{,}000 \times \frac{2}{9}$ = ₹ 6,000

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Tharun's capital A/c	Dr.		6,000	
	To Ashok's capital A/c (5/6)				5,000
	To Mumtaj's capital A/c (1/6)				1,000
	(Tharun's share of goodwill credited to the old partners' capital account in the sacrificing ratio)				

3. When the new partner brings only a part of the goodwill in cash or in kind

Sometimes the new partner may bring only a part of the goodwill in cash or assets. In such a case, for the cash or the assets brought, the respective account is debited and for the amount not brought in cash or kind, the new partner's capital account is debited. The following journal entry is passed.

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Cash / Bank A/c	Dr.		xxx	
	New partners' capital A/c	Dr.		xxx	
	To Old partners' capital / current A/c (in sacrificing ratio)				xxx

Illustration 22

Aravind and Balaji are partners sharing profits and losses in 3:2 ratio. They admit Anirudh into partnership. The new profit sharing ratio is agreed at 1:1:1. Anirudh's share of goodwill is valued at ₹ 20,000 of which he pays ₹ 12,000 in cash. Pass necessary journal entries for goodwill on the assumption that the fluctuating capital method is followed.

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